Enforcement Action Summary — Peer Firm, Financial Crime Failings

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Summary

A comparable mid-size institutional services provider has been subject to enforcement action in respect of financial crime control failings identified over a four-year period. A financial penalty was imposed and the firm accepted a requirement to appoint an independent skilled person.

Nature of the Failings

- The firm expanded its fund services business without commensurate investment in financial crime resourcing.
- Customer due diligence files for complex structures were incomplete in a material proportion of the sample tested.
- The firm reported to its board that a remediation programme was complete when independent testing subsequently identified that a number of findings had been closed without adequate evidence.
- Sanctions screening had not been subject to independent tuning review for three years.

Regulatory Commentary

The supervisor observed that the most serious aggravating factor was the inaccuracy of the firm's internal reporting to its own board, which delayed corrective action by approximately eighteen months. The supervisor stated that boards must satisfy themselves as to the quality of closure evidence rather than relying on management assertion.

Read-Across

Supervisors have written to firms in the sector asking them to consider the read-across from this action, with specific reference to remediation closure assurance and the alignment of growth strategy with control capacity.